



**THE EMPLOYEES' COMPENSATION ACT**, which kicks in when an employee is injured in an accident at the workplace, was enacted way back in 1923.

It has remained in force even as India's economy underwent a structural transformation—from a British colony attaining Independence in 1947, to experimenting with nationalisation in 1969, liberalisation in 1991 and, more recently, demonetisation, the introduction of the goods and services tax (GST), the outbreak of the Covid-19 pandemic and now the emergence of the digital economy.

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To keep pace with that change, the government started working on modernising the archaic labour laws nearly a decade ago. Those efforts culminated in the four Labour Codes enacted in 2019 and 2020—the Code on Wages, 2019, Occupational Safety, Health and Working Conditions Code, 2019, the Industrial Relations Code, 2020, and the Code on Social Security, 2020.

The government aimed to subsume and codify 29 central labour laws that were brought about over the last century and needed an overhaul to bring them in sync with the requirements of the modern economy and the needs of employers and workers.

For employers, the minutiae of labour laws and compliance with them have been a sore point—these pertain to everything from meeting much needed norms for toilets and working hours to monthly returns for provident fund contributions. Several provisions carried penal and even criminal provisions in case of non-compliance.

But the Codes were kept on hold for five years faced with massive opposition from trade unions and at least some concerns of employers. All that changed when the government finally decided to implement the Codes with effect from November 21.

## IN A NUTSHELL

### Code on Wages, 2019

- 1 Amalgamates four labour laws: The Payment of Wages Act, 1936, The Minimum Wages Act, 1948, The Payment of Bonus Act, 1965 and The Equal Remuneration Act, 1976
- 2 Universalises minimum wage for all employees with a floor-level minimum wage
- 3 Unifies wage definition, redefines wage components, changes inspector to inspector-cum-facilitator
- 4 Caps working hours at 48 hours per week, period of work shall not exceed 12 hours in a day for flexibility, ensures payment of overtime

### Industrial Relations Code, 2020

- 1 Consolidates three existing laws: Industrial Disputes Act 1947, Trade Unions Act 1926 and Industrial Employment (Standing Orders) Act 1946
- 2 Definition of worker and industry expanded, introduces uniform definition of wages, expands retrenchment and closure threshold to 300 workers from 100 earlier
- 3 Changes in registration and recognition of trade unions to become negotiating union, amends definition of strike
- 4 Provides statutory recognition to fixed-term employment; workers entitled to all benefits on a par with permanent employees

Union Labour Minister Mansukh Mandaviya had said the Codes are both pro-worker and pro-growth, establishing a strong foundation for universal social security, fair and timely wage payment, safer workplaces, formal recognition for emerging segments such as gig and platform workers, and greater empowerment for Yuva (youth) and Nari Shakti (women).